

Employing in Nepal

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Labor Act 2074 (2017)
- **Monthly payroll** — salary payments in NPR, itemised payslips
- **Tax withholding** — TDS on salary calculated and remitted to the Inland Revenue Department
- **Social Security Fund (SSF)** — pension, gratuity, medical and other statutory schemes in a single combined contribution
- **Leave and termination management** — notice periods, entitlements and gratuity guidance

Employment Conditions

Contracts & Probation

The Labor Act 2074 governs most private-sector employment, with minimum wages revised periodically (at least every two years) by the Minimum Wage Fixation Committee. The Social Security Fund (SSF) consolidates most statutory benefits into a single scheme.

Item	Detail	Legal Basis
Standard hours	8 hrs/day, 48 hrs/week (6-day week)	Labor Act 2074
Basic salary requirement	Must be at least 60% of gross wages (SSF base)	Labour Rules
SSF registration	Mandatory for formal-sector employers	Social Security Act 2074 / Contribution-Based Social Security Act

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 48 hrs/week	Labor Act 2074
Overtime premium	150% of ordinary hourly rate	Labor Act 2074

Minimum Wage & Social Security Fund (2026)

Measure	Rate	Notes
National minimum wage	NPR 19,550/month	Effective January 2026; revised at least every two years
SSF employer contribution	20% of basic salary	10% pension + 8.33% gratuity + 1.67% additional; calculated on basic, not gross
SSF employee contribution	11% of basic salary	10% pension + 1% social security tax
SSF maximum taxable salary ceiling	NPR 350,000/month	Raised from NPR 300,000 as of FY 2082/83

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 18 days/year	Employer	Accrues progressively through the year
Dashain Bonus	1 month's salary, paid annually	Employer	Also fundable through SSF National Welfare Fund contributions under the Bonus Act
Provident Fund / Gratuity	Employer contributes 10% of basic (pre-SSF) or via SSF pension component	Employer	Gratuity typically vests after 3 years of service

★ HERO TIP

Nepal's Social Security Fund consolidates provident fund, gratuity and medical insurance into a single combined contribution — employers who contribute to SSF are not required to maintain separate legacy schemes for the same benefits. Confirm with your HeroForce EOR whether any pre-existing provident fund or gratuity arrangement needs to be wound down or reconciled against SSF enrolment.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
SSF employer contribution (20% of basic, illustrative ~60% of gross)	\$360.00	12.00%
EOR service fee (HeroForce, Tier 2)	\$500.00	16.67%
Estimated total monthly cost	~\$3,860.00	~128.7%

HeroForce EOR service fee shown at USD \$500 per employee per month (Tier 2 pricing), no setup fee. SSF is calculated on basic salary (which must be at least 60% of gross), not gross salary — this example applies the 20% employer rate to an illustrative basic salary component. Employee deductions (withheld separately) include the 11% SSF employee share and progressive TDS.

Income Tax (TDS, 2026)

Nepal applies a progressive income tax system with a relatively high tax-free threshold; most minimum-wage workers fall below the taxable threshold entirely.

Feature	Detail
Tax-free threshold (individual)	NPR 500,000/year
Tax-free threshold (married couple)	NPR 600,000/year
SSF contribution deductibility	Deductible up to NPR 500,000/year

Termination & Separation

Termination requires adherence to notice provisions under the Labor Act 2074, with gratuity (via SSF pension contributions or a legacy scheme) payable on qualifying separation. Always confirm current notice periods and severance formulas with your HeroForce EOR, as Nepal's SSF framework continues to evolve.

Public Holidays 2026 (Illustrative)

Nepal observes a mix of fixed national holidays and festival dates that follow the Bikram Sambat lunar-solar calendar and shift relative to the Gregorian calendar each year.

Date (2026, approx.)	Holiday	Type
~mid-April	Nepali New Year	National (Bikram Sambat calendar)
~September/October	Dashain (multi-day, Nepal's most significant festival)	National (lunar calendar)
~October/November	Tihar (Diwali equivalent, multi-day)	National (lunar calendar)
25 December	Christmas Day	National

Dashain and Tihar are Nepal's most significant holiday periods, typically extended into multi-day breaks — confirm the finalised government schedule closer to the date, as several dates shift annually.

Ready to hire in Nepal?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Nepal employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$500** per employee per month, no setup fee (Tier 2).